

A new material. Different industrial future.

PaperShell

SPHERE — ALTERNATIVE MATERIALS

PaperShell develops press-formed biobased composite components from kraft paper and bio-based binders.

Products are already reaching customers in furniture and other applications, while a major EU-supported project aims to expand production in Tibro.

€40.3M

EU INNOVATION FUND SUPPORT

100%

BIOGENIC AND FOSSIL-CARBON-FREE MATERIAL,

23.000 t

PLANNED ANNUAL CAPACITY AT FULL RAMP-UP

PROVEN POTENTIAL

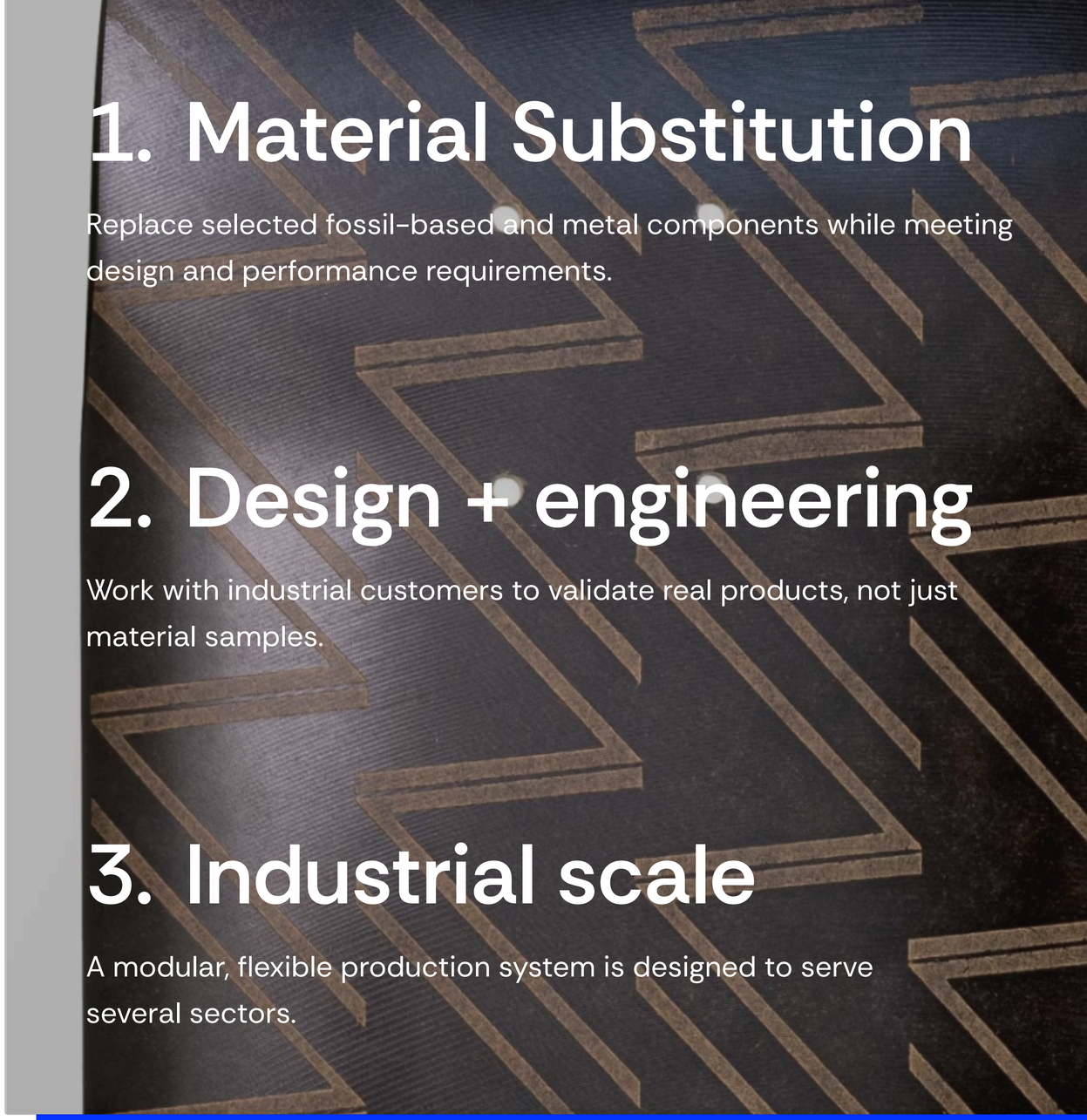
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THE OPPORTUNITY

Industry needs materials that work. And can circulate.

PaperShell aims to replace fossil-based plastics, aluminium and glass-fibre composites with a high-performance biobased material.

The opportunity is to make lower-impact materials viable in demanding industrial applications, not just niche sustainable products.



1. Material Substitution

Replace selected fossil-based and metal components while meeting design and performance requirements.

2. Design + engineering

Work with industrial customers to validate real products, not just material samples.

3. Industrial scale

A modular, flexible production system is designed to serve several sectors.

WHY NOW?

Two commercial furniture launches, industrial validation reported by Stena, bank financing and an EU grant agreement create a strong platform for the next stage.

PaperShell

Monomaterial.

Designed for existing recovery pathways.

PaperShell's core proposition is a biobased monomaterial: kraft-paper fibres combined with a bio-based binder, formed into structural components.

Its design aims to avoid mixed fossil-based composites and fit more naturally into wood- and paper-related recovery routes.



01 — SOURCE

Kraft paper and bio-based binder

02 — FORM

Press-form components for specific applications

03 — SUBSTITUTE

Replace selected plastic, aluminium or glass-fibre parts

04 — USE

Components in furniture and industrial products

05 — RECOVER

Production scrap can be converted into biochar

06 — RE-DESIGN

Build recovery and take-back routes for products after use

A paper-based monomaterial is designed to reduce dependence on fossil inputs and fit established wood-related recovery pathways.

PaperShell

From material development to an EU-backed scale-up.

2009
INTRODUCTION

PaperShell begins developing a paper-based structural material.

2024
PRODUCTION STARTS

FACTORY ONE

Automated manufacturing begins operating in Tibro in spring 2024.

2024–25
FIRST COMMERCIAL PRODUCTS

Arper's Catifa Carta and Fredericia's Pato Paper Chair bring the material into established furniture brands.

2025
EQUITY FINANCING

47.4M SEK

SEK 47.4m raised in 2025, as part of approximately 150M SEK over 2023–25.

2025–26
BANK FINANCING

Commercial bank financing adds another source of capital alongside equity.

2026
EU GRAND AGREEMENT

€40.3M

EU SUPPORT

Up to €40.3m supports a planned €83.2m industrial expansion, targeting 23,000 tonnes/year by 2030.

Early commercial products, equity, commercial bank financing and an EU grant support expansion. Profitable scale has not yet been demonstrated.

PaperShell

Design appeal only matters if the material works in industry.

PaperShell's proposition combines material performance, attractive design and a production system that can adapt across applications.

The potential advantage is not biobased content alone: it is a material customers can use, manufacturers can produce, and recovery systems may be able to handle.

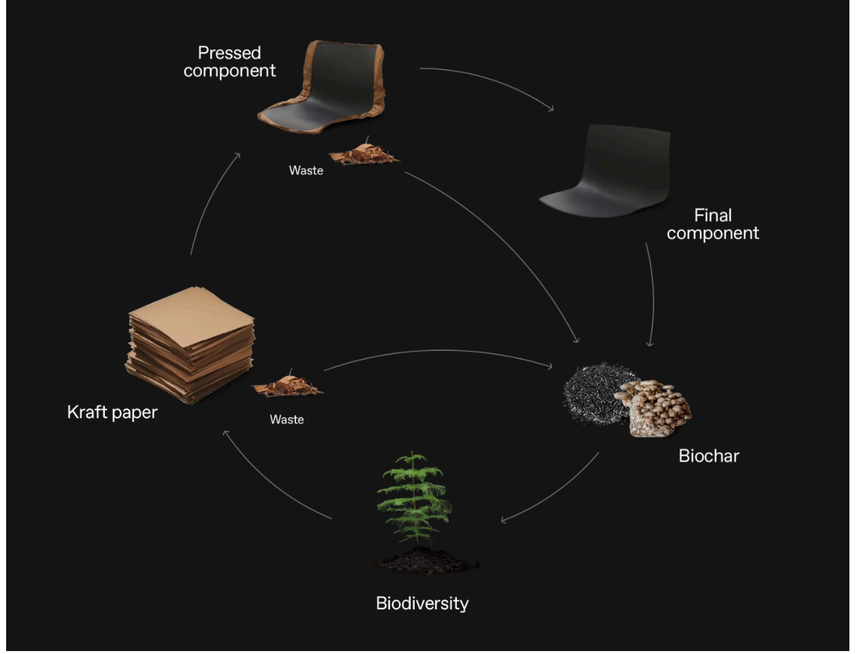


Material performance, design appeal, customer collaboration and adaptable production reinforce one another.

THE INVESTOR TAKEAWAY

PaperShell

Invest to fit into existing infrastructure



01 LOOK FOR A MATERIAL THAT PERFORMS

Customer adoption depends on strength, appearance, quality and application-specific validation, not sustainability claims alone.

02 LOOK FOR A SYSTEM, NOT JUST A PRODUCT

Monomaterial design and recovery expertise may help the material fit existing industrial processes.

03 LOOK FOR POTENTIAL NEEDS PROOF AT SCALE

EU support and bank financing strengthen the scale-up case, but do not replace repeat demand, positive cash flow and proven margins.

The lesson: industrial validation and credible financing can move a circular material forward. The next proof is profitable production at scale.

PaperShell

“Success is art and engineering in combination.

When these materials can be integrated into industry and existing recovery chains, that is a good investment.”

Mats Torring
Stena Metall



INVESTMENT THESIS

Develop a fossil-free biobased composite platform that can replace selected conventional materials in industrial applications.

“When these materials can be integrated into industry and existing recovery chains, that is a good investment.”

- Mats Torring
Stena Metall

BANKABILITY INDICATORS

1. INDUSTRIAL VALIDATION AND CUSTOMER ADOPTION

Commercial products with established furniture brands demonstrate that PaperShell is moving beyond material development into real applications. Further validation across demanding industrial sectors remains essential.

2. STRATEGIC CAPITAL FOR INDUSTRIAL SCALE

€40.3m in EU Innovation Fund support, alongside equity and commercial bank financing, provides a substantial funding base for planned expansion. The next milestone is to translate this support into reliable industrial production.

3. PROVE PROFITABLE UNIT ECONOMICS AT SCALE

PaperShell's modular production system and biobased monomaterial offer potential for cross sector applications. Longterm bankability depends on demonstrating competitive production costs, repeat customer demand and profitable operations at scale.

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A Nordic initiative turning circular ideas into investable business

NORDIC CIRCULAR INVESTMENTS